Chapter Review

Key Concepts

theory of liquidity preference (Keynes's theory that the interest rate adjusts to bring money supply and money demand into balance)

fiscal policy (the setting of the level of government spending and taxation by government policymakers)

multiplier effect (the additional shifts in aggregate demand that result when expansionary fiscal policy increases income and thereby increases consumer spending)

crowding-out effect (the offset in aggregate demand that results when expansionary fiscal policy raises the interest rate and thereby reduces investment spending)

automatic stabilizers (changes in fiscal policy that stimulate aggregate demand when the economy goes into a recession without policymakers having to take any deliberate action)